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Presents



Session 06 – Modified Monthly Iron fly (MMI)

25th July 2022, Monday, 8pm ~ 10pm

Mr. Saddam SK

Options Trader



Presents

Modified Monthly Iron fly (MMI)

Saddam SK



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Speaker Introduction



Saddam SK

Mr.Saddam (Saddy) is a FNO Trader (Option Seller) since 2018. On Twitter he is known to many people as @pythontrader999.

He is a part time trader. He was graduated from JNTUK and working as manager in PSU Bank.

He is a systematic rule based trader who had developed many intraday and positional systems.

He trades the fully automated version of these systems in Intraday.

He allocates 30% of capital for Positional Trading and his positional systems are partially automated.

CONSTITUENTS

- POSITION SIZING
- RISK MANAGEMENT
- STRATEGY
- EXECUTION
- PATIENCE

POSITION SIZING

- KEY PART OF ANY POSITIONAL STRATEGY IS POSITION SIZING.
- OVER NIGHT RISK AND BLACK SWAN RISK
- FOR OUR MMI WE DEPLOY 1 LOT ONLY WHEN WE HAVE A CAPITAL OF 5L.
- BUY NIFTY BEES AND PLEDGED TO GET AN EXTRA 8-10% RETURN ON CAPITAL PA.

RISK MANAGEMENT

- RISK TAKING ABILITY VARIES FROM PERSON TO PERSON.
- IT DEPENDS ON TRADER, HIS CAPITAL, SEGMENT HE/SHE IS TRADING ETC.,
- FOR OUR MMI WE TAKE A RISK OF 2% ON CAPITAL FOR A MONTH AND WE TARGET AROUND 2.5% TO 3% PER MONTH.
- WE DO USE TRAILING TO REDUCE THE RISK AND THE SAME WILL BE COVERED IN STRATEGY PART.
- THE MAX CAPITAL USED PER LOT IN THIS STRATEGY IS ONLY 1.5L PER LOT
- I DO TAKE EXTRA RISK ON IDEAL CAPITAL BY DEPLOYING WEEKLY IRONFLY WITH 0.5% RISK ON CAPITAL PER WEEK.

STRATEGY

- IRONFLY
 - WE SELL AN ATM STRADDLE
 - WE BY AN OTM STRANGLE

MODIFIED MONTHLY IRONFLY

- WEEKLY IRONFLY AND MMI
 - DIFFERENCES IN MY APPROCH
 - WEEKLY IRONFLY – NON DIRECTIONAL
 - MMI – DIRECTIONAL + NON DIRECTIONAL
 - PROS AND CONS
 - CREDIT RECEIVED
 - TENT SIZE
 - RED AREA OUT SIDE TENT
 - HOW DO WE HANDLE THE CONS.....????(STRATEGY PART)
 - POP ON PAPER VS PRACTICAL
 - PROBABILITY OF EXPIRING WITH IN GREEN TENT WITH OUT ANY ADJUSTMENTS

RULES

- MODIFIED MONTHLY IRONFLY (MMI)
 - NON DIRECTIONAL PART – (BASE TRADE) – STATIC TRADE
 - DIRECTIONAL PART – DYNAMIC TRADE

NON DIRECTIONAL PART

- IRONFLY
 - WE SELL AN ATM STRADDLE
 - WE BY AN OTM STRANGLE (DISTANCE TO CE+PE PREMIUM COLLECTED)

QUESTION: THE TENT IS SMALL – BLUE LINE IS BENT DOWNWARDS TOWARDS BREAK EVEN AND CHANCES OF GOING OUT OF BRAEK EVEN ARE HIGH AS THE TENT WIDTH IS LESS

ANSWER: SAFETY COME AT A COST

NON DIRECTIONAL PART (CONT..)

- BLUE LINE ISSUE IS SOLVED BUT TRADER IS NOT COMPLETELY SAVED AS THE TIME PLAYS A MAJOR ROLE AGAINST US IF WE SPEND MORE TIME OUTSIDE THE TENT...

DIRECTIONAL PART

- BULISH SIGNAL
 - PRICE ABOVE 4 DAY HIGH
 - ST 10,3.5 GREEN
 - STRIKE: 4 DAY LOW OR 1000 POINTS
 - IF PREMIUM IS VERY LESS GO TO NEXT MONTH OPTIONS

DIRECTIONAL PART (CONT..)

- BEARISH SIGNAL
 - PRICE BELOW 4 DAY LOW
 - ST 10,3.5 RED
 - STRIKE: 4 DAY HIGH OR 1000 POINTS
 - IF PREMIUM IS VERY LESS GO TO NEXT MONTH OPTIONS

TARGET, STOP LOSS, EXIT RULES

- TARGET 3% ON CAPITAL
- STOP LOSS 2% ON CAPITAL
- TRAILING SL AT 1:1 PROFIT
- SPECIAL EXIT WHEN 1ST HEDGE BECOMES ITM (WE WILL BE GETTING AROUND 1.5 to 2%)
- TIME EXIT 4-5 DAYS BEFORE EXPIRY

RECAP

- RISKMANAGEMENT
 - 4% AGAINST MY POSITION..??



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Here's how it works

	VALUE (₹)	BROKERAGE*	REGULATORY & STATUTORY CHARGES
Buy	210,000	₹ 20	₹ 37.8
Sell	209,000	₹ 20	₹ 37.8
Loss	1,000		

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Joy of Trading

- **Zero Brokerage on Loss Making Square Off Order**
- **Zero Brokerage for Delivery Trade in Cash Market**
- **Free Auto Square off For MIS**
- **Trade in Out-Of-The-Money Options**
- **Split Order – Place large quantity Order in one Order**
- **350+ Cash Market Scrip For MIS Trading**
- **Place Bracket Order for Nifty/Bank Nifty**
- **AMO Order**
- **Pre-IPO Order**

The screenshot displays the Espresso trading platform. On the left, a 'MARKET' section lists various scrips with their current prices and changes. On the right, a 'POSITION' table provides a detailed breakdown of the user's trades and holdings.

Script Name	Net Qty	Net Rate & LTP	Total MTM	Total BPL	Todays MTM	Todays BPL	Settled MTM	Buy Value	Sell Value
MINDALCO	1	597.00	23.50	0.00	23.50	0.00	0.00	597.00	0.00
MINDALCO	1	596.15	22.35	0.00	22.35	0.00	0.00	596.15	0.00
SBIL	0	0.00	0.00	-4.75	0.00	-4.75	0.00	441.45	436.70
SBIL	0	0.00	0.00	1.30	0.00	2.50	0.00	877.50	880.00
BANKNIFTY 28Apr2022	25	33177.70	-4942.50	0.00	-4942.50	0.00	0.00	829442.50	0.00
BANKNIFTY 31Mar2022	-25	33645.10	4036.75	0.00	4536.75	0.00	0.00	0.00	406002.50
NIFTY 28Apr2022	30	16275.00	16212.00	0.00	15640.00	0.00	-627.00	0.00	0.00
NIFTY 31Mar2022	30	16221.00	-17680.00	0.00	-16517.00	0.00	1657.00	0.00	0.00
Total			176.00	-3.25	55.40	-2.25	-230.00	831956.40	-426002.50

Open Position : 6
Close Position : 2

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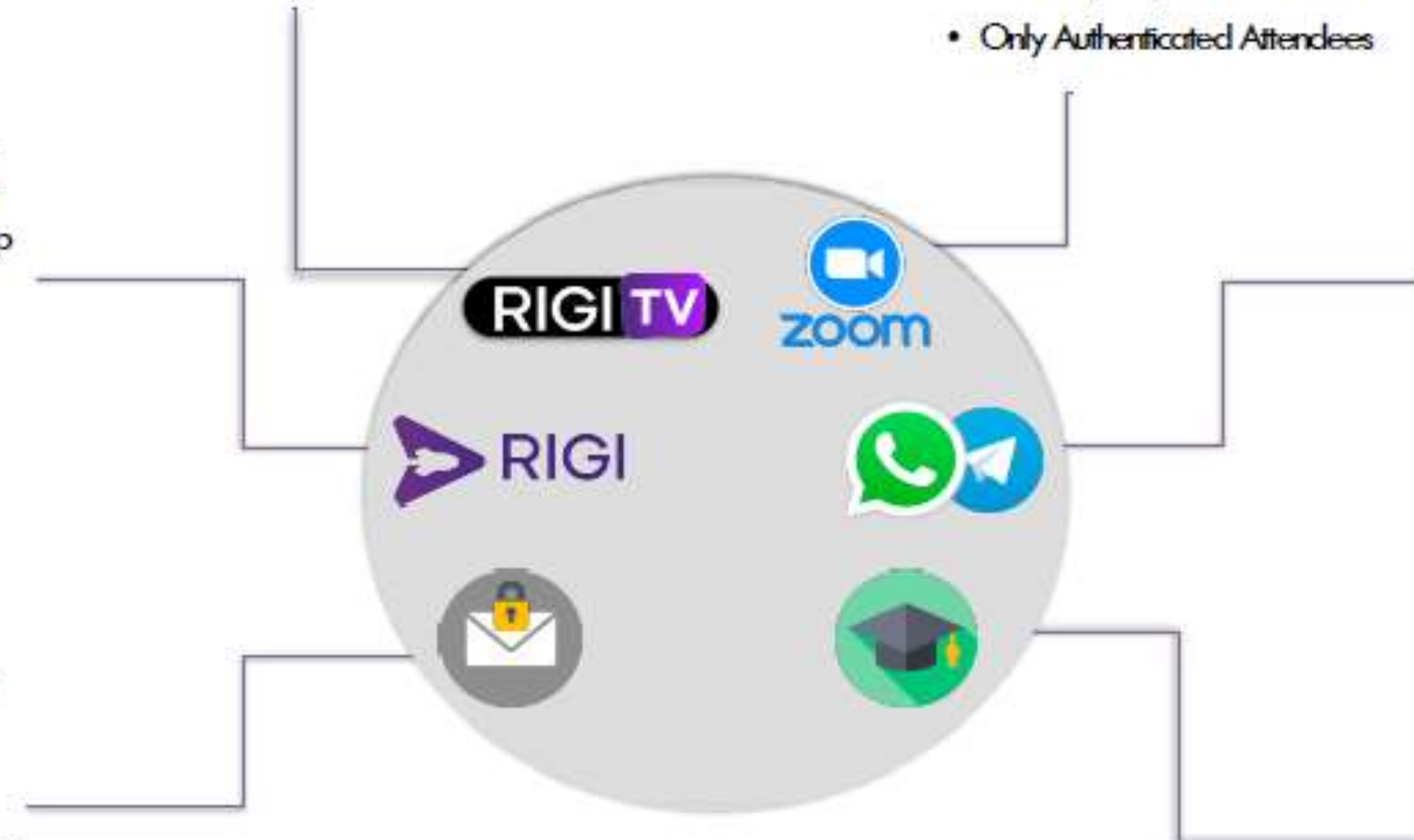
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Traders Conclave 2022 –Speakers highlights

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6. One of the expert Straddle players with 100 lots

Traders Conclave 2022 –Event Details

1. Stay in a 5 star hotel for 3 days and 2 nights with all 8 meals included valued at **20000/-** (Hilton Garden Inn, Manyata techpark , Bengaluru)
2. VIP Access pass for the conclave with life time education which is **Valuable**
3. Brokerage credits without expiry date for every one worth **25000/-**
4. Life time access to all the Live recorded events in Traders Gurukul worth **10000/-**
5. Collaborate with up to 400 Full time stock traders across India which is **Priceless**
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Conclave Manager – Fazil – 6360107848

Telegram : @tradersconclave

6th Quiz of the Series

In sideways markets, option strategies can be developed to take advantage of _____.

- A. Gamma Decay
- B. Theta Decay
- C. Delta Neutrality
- D. Vega Neutrality

Winner Reward

1. Daily one winner will be selected
2. All the 12 winners of each day will have free access to the Intrazon event of 2022 with life time recording access
3. There is a **Man of the Option Omega Series award** for 1 winner who should win at least 3 times in the 12 day series
4. He will get **Educational goodies worth 100000/-** from Traders Gurukul

Quiz 05 - Winner

Implied volatility is priced into an option's value in the

_____.

- A. Past
- B. Present
- C. Future



Shivakanth

The Answer is **Present**

Questions & Answers





Thank you

Saddam SK

Options Trader

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